

Segregation in a retrenching housing regime

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Wicked problems and the welfare state: Segregation in Finnish urban planning policy

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THESES

<https://aaltodoc.aalto.fi/items/05c634c8-59ac-482c-ae7-e7f8bdeb58e9>



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What is segregation?



From neutral...

- *‘The degree to which **two or more groups live separately from one another**, in different parts of the urban environment’ (Massey and Denton, 1988)*
- *‘...unequal **representation of socio-economic, demographic, and ethnic categories across space.**’ (Andersson and Turner, 2014)*

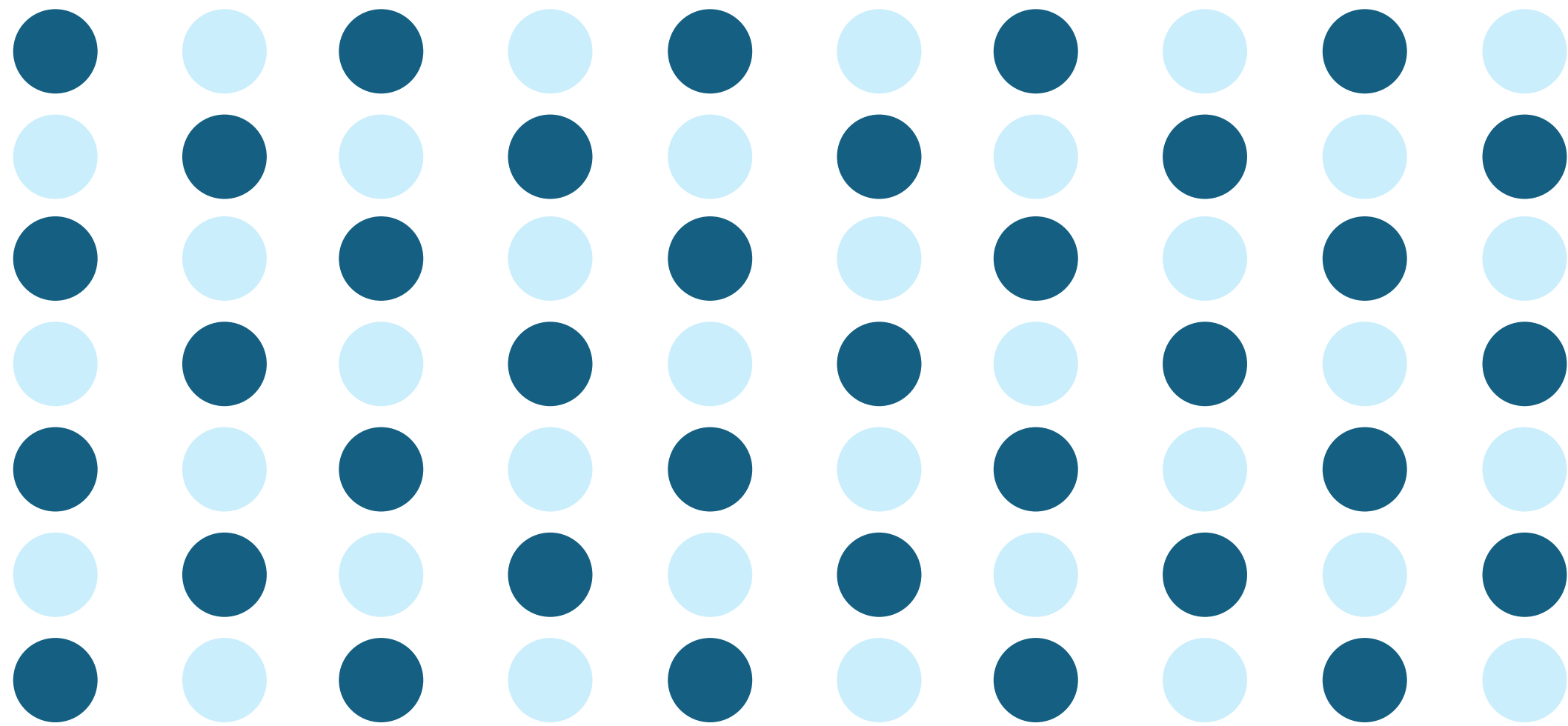
...to detrimental

- *‘Segregation is the process by which a population group, treated as inferior (generally because of race), is **forced, that is, involuntarily, to cluster** in a defined spatial area, that is, in a ghetto. **Segregation is the process of formation and maintenance of a ghetto.**’ (Marcuse, 2005, p. 16)*
- *‘Vicious circles of segregation are a result of the **connectedness of social and spatial inequalities in different life domains**. Advantage breeds advantage and disadvantage breeds disadvantage.’ (Tammara, Knapp, et al., 2021)*

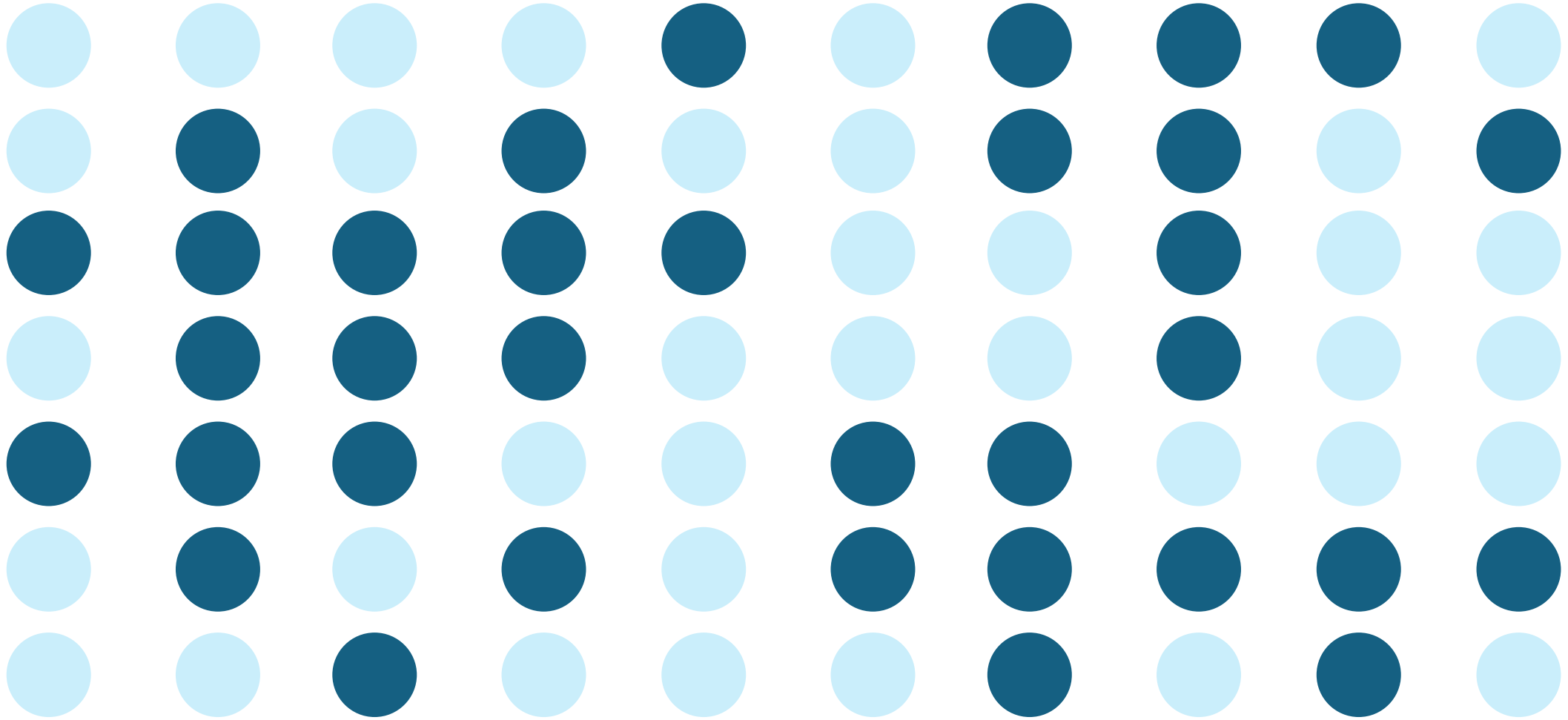
A divided city



A mixed city

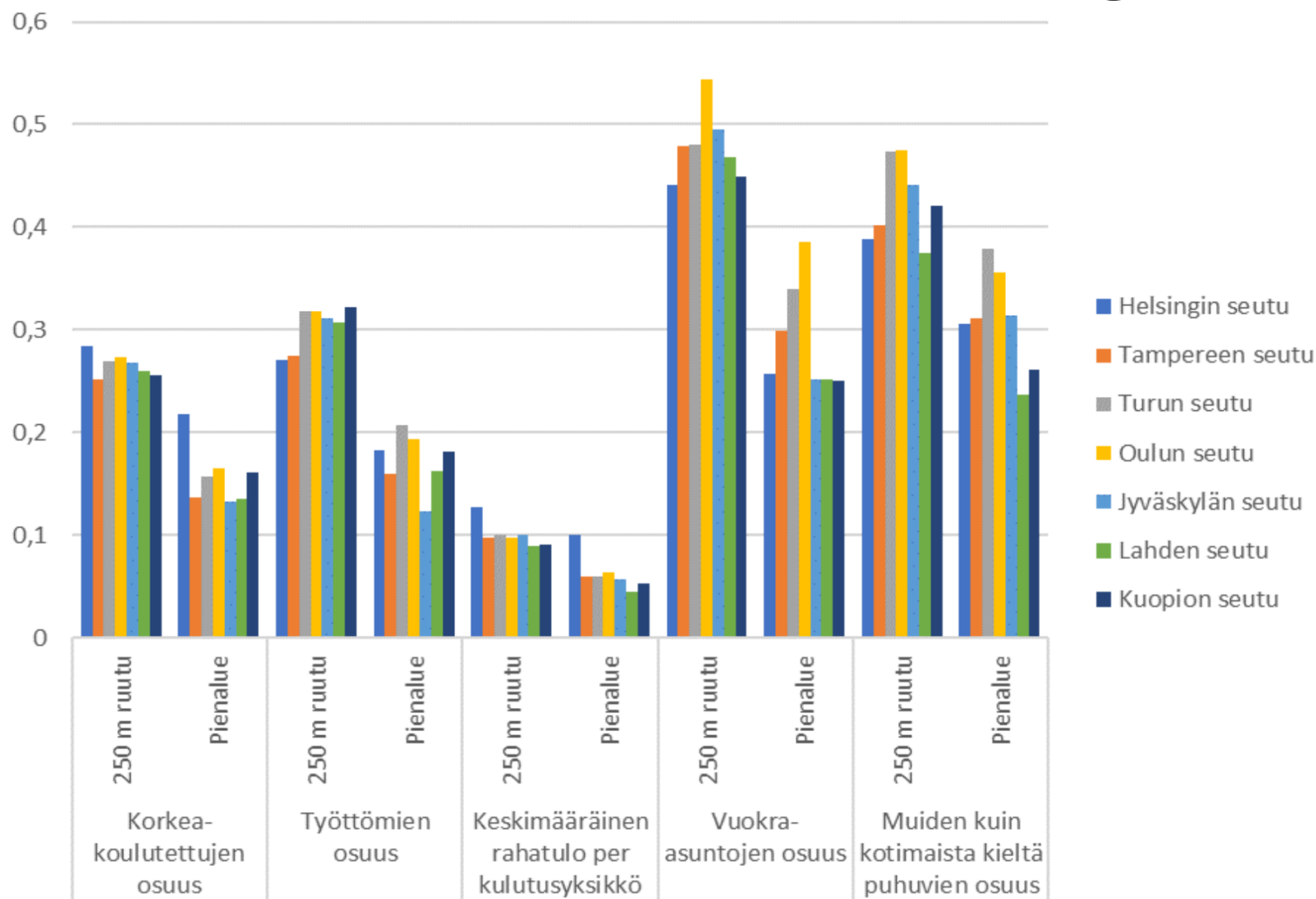


Reality



Measuring segregation

Dissimilarity index (Finnish regions 2022)



Dissimilarity index (Finnish cities 2000-2018)

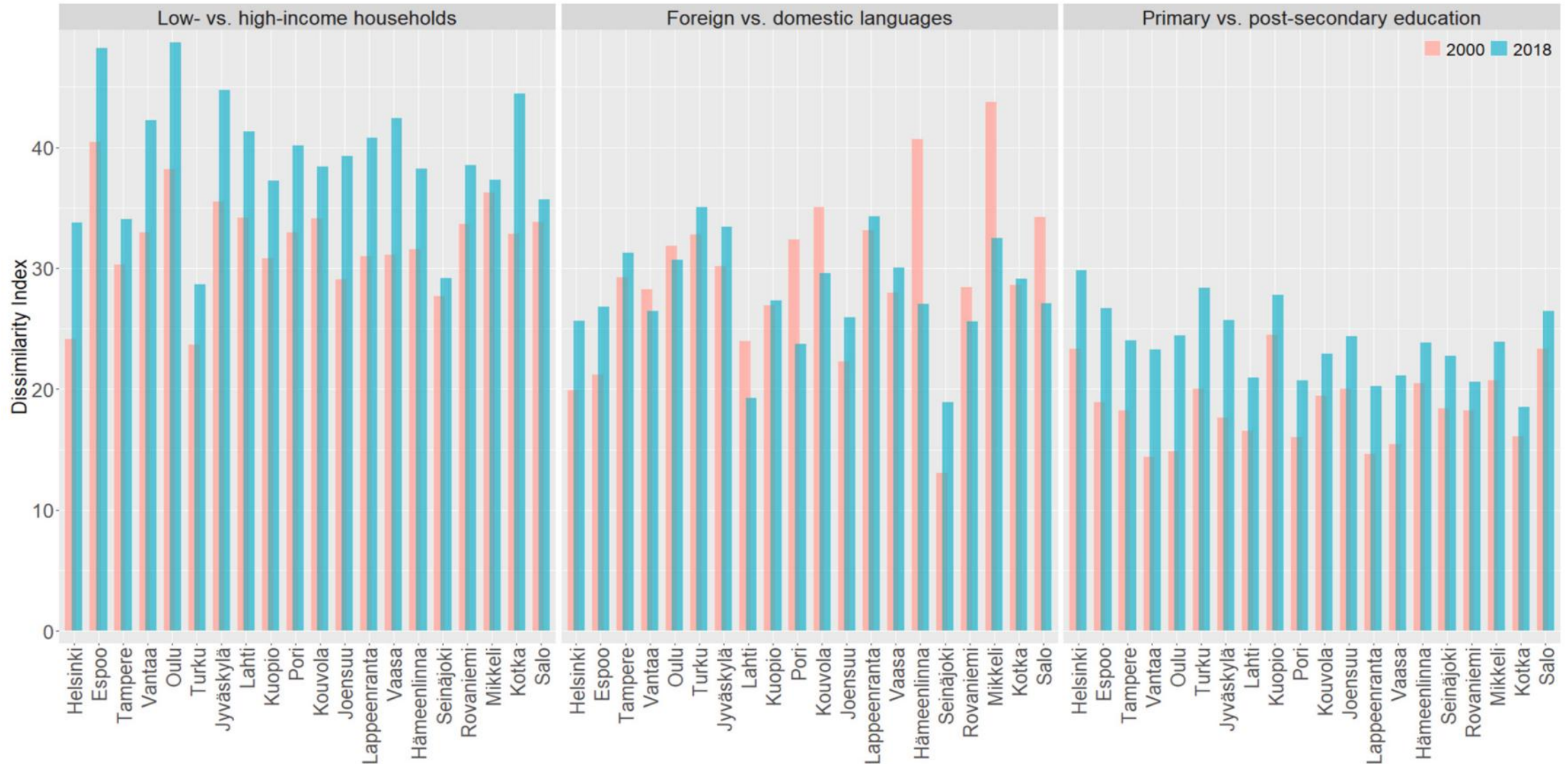
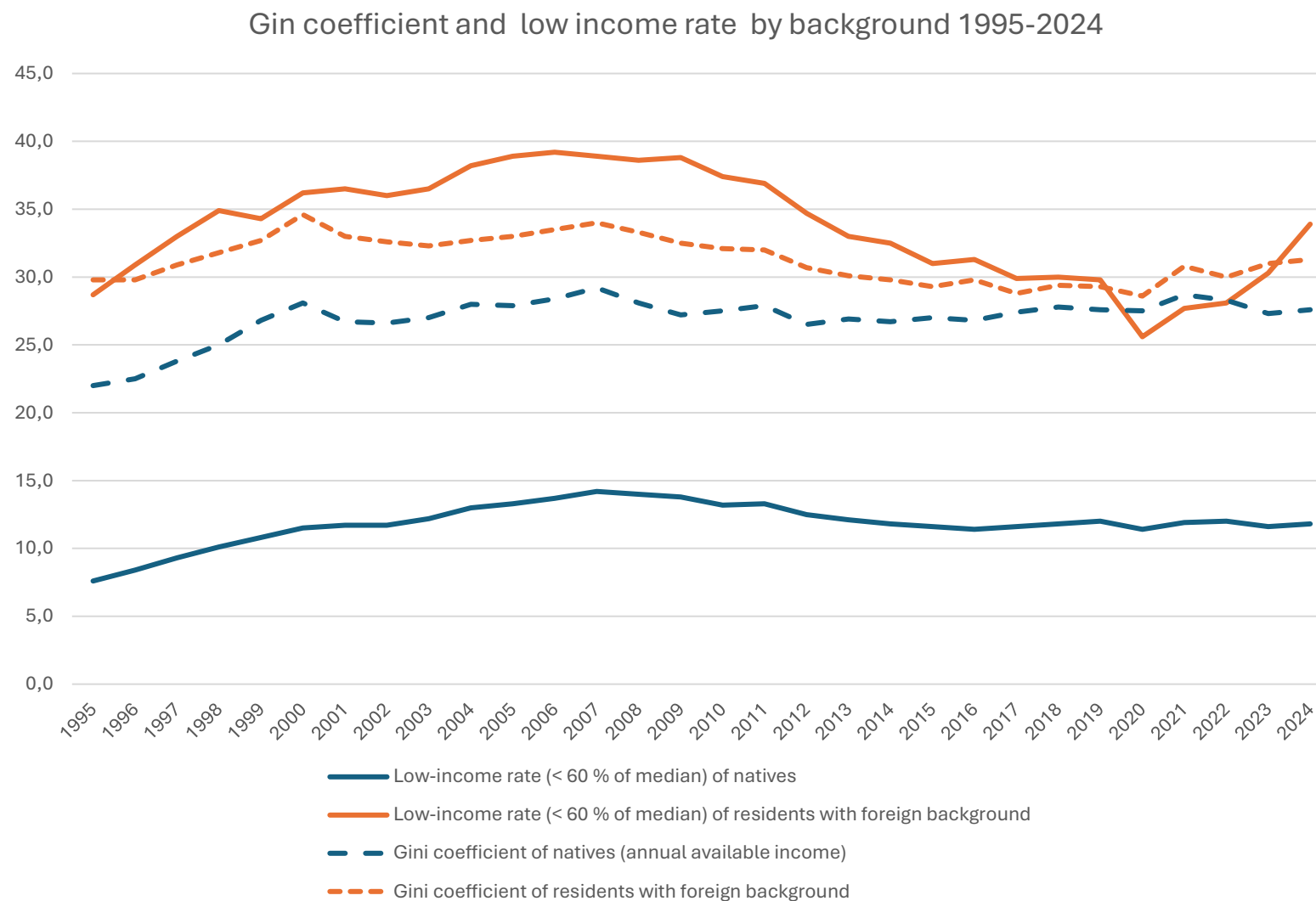
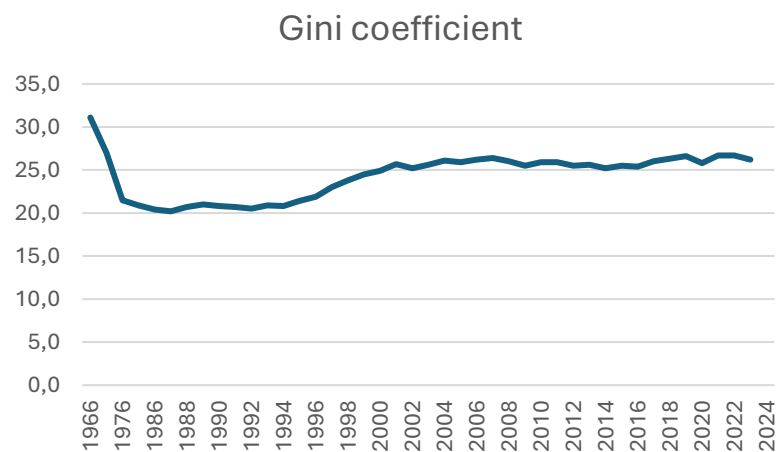


Table 1. Indices of dissimilarity (multiplied by 100) between occupational groups in 2001, 2011 and 2021 (authors' calculations).

	Higher vs Lower			Higher vs Middle			Middle vs Lower		
	2001	2011	2021	2001	2011	2021	2001	2011	2021
Paris	49	50	51	31	32	32	24	24	24
Stockholm	46	50	51	25	26	27	25	28	28
Barcelona	42	47	41	28	31	24	16	26	19
Helsinki	32	34	37	19	20	21	14	15	17
Tallinn	25	38	36	15	22	20	12	17	17
London	34	33	36	13	15	17	21	22	23
Vilnius		33	36		22	23		15	17
Oslo	31	35	33	16	18	17	18	20	17
Athens	32	31	33	20	18	19	16	17	16
Dublin		33	32		18	18		17	16
Bratislava	35	26	31	20	13	17	18	16	16
Lisbon	31	31	30	25	24	23	32	31	31
Riga	23	25	29	16	17	20	12	12	14
Prague	26	25	26	15	13	14	15	15	15
Warsaw	27		26	18		15	12		14
Amsterdam	18	20	20	11	10	9	21	20	21
AVERAGE	32.2	34.1	34.3	19.4	19.9	19.8	18.3	19.7	19.1
STAND. DEV.	8.7	9.0	8.3	5.9	6.4	5.4	5.8	5.5	5.0

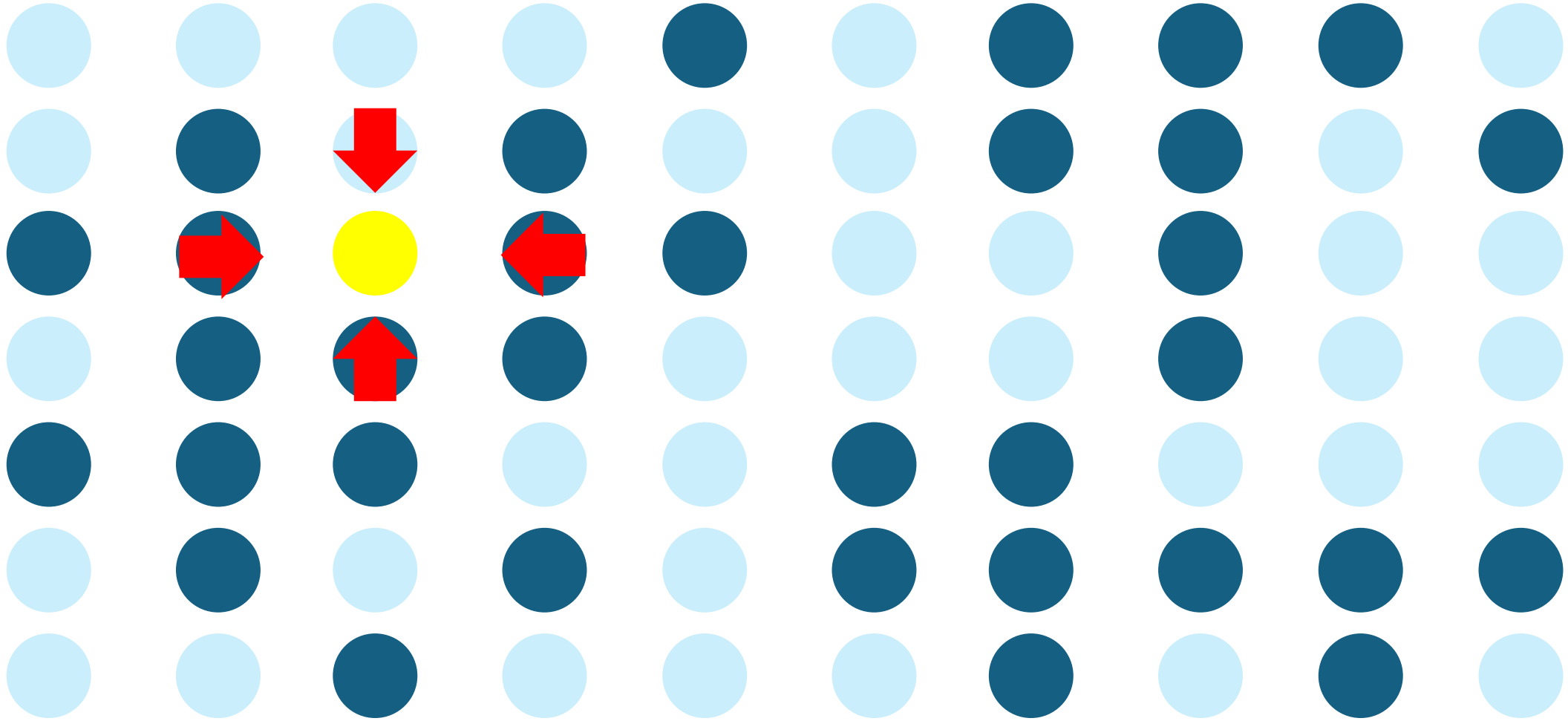


Gini coefficient in Finland

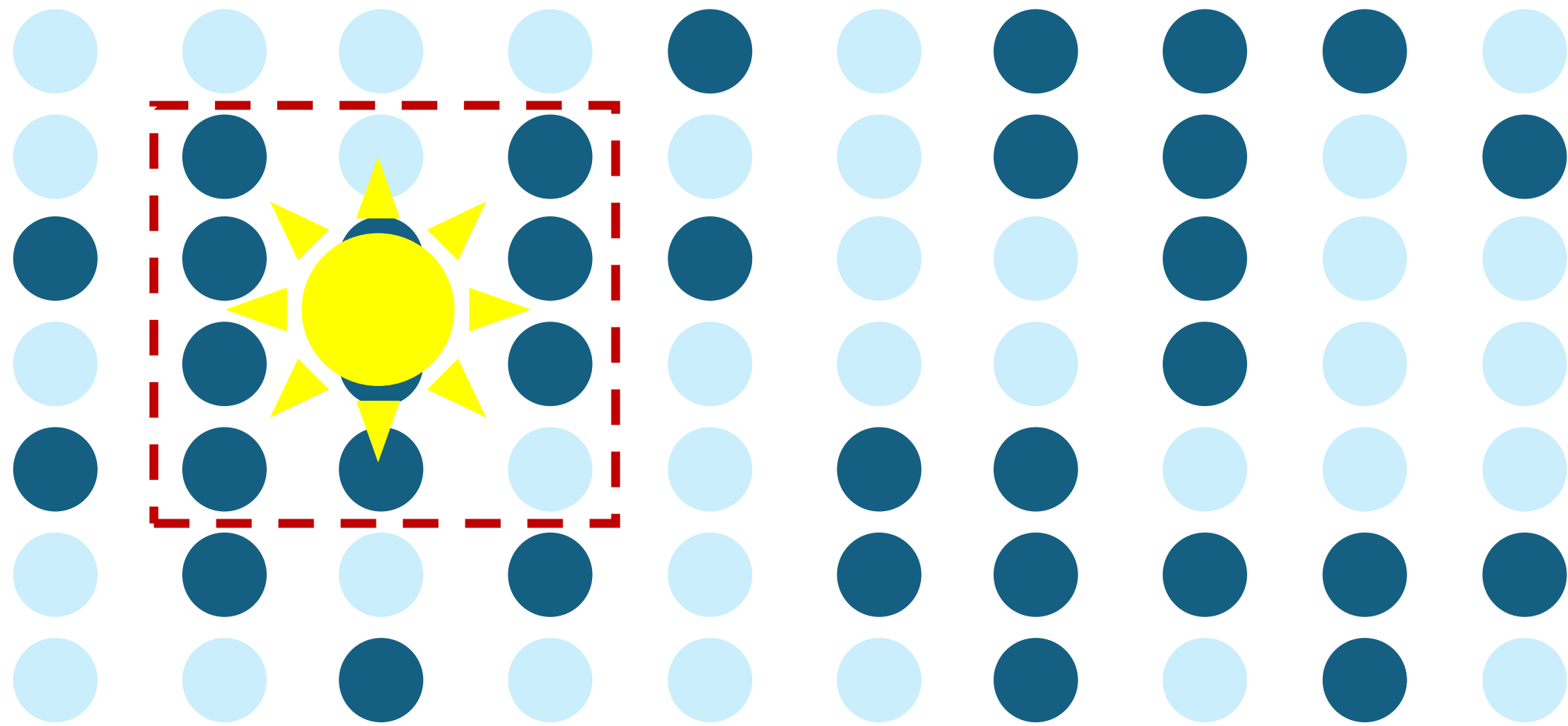


Managing segregation

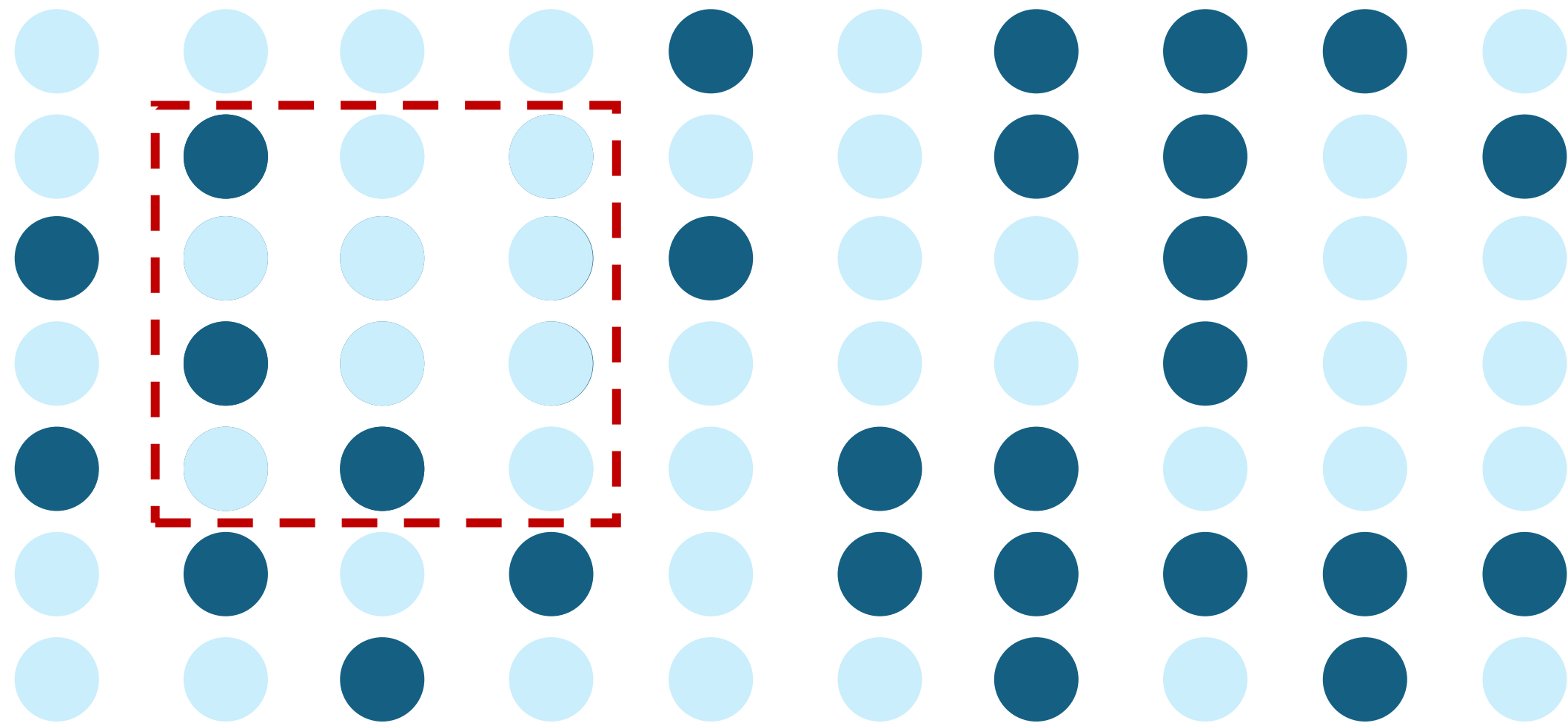
Neighborhood effects



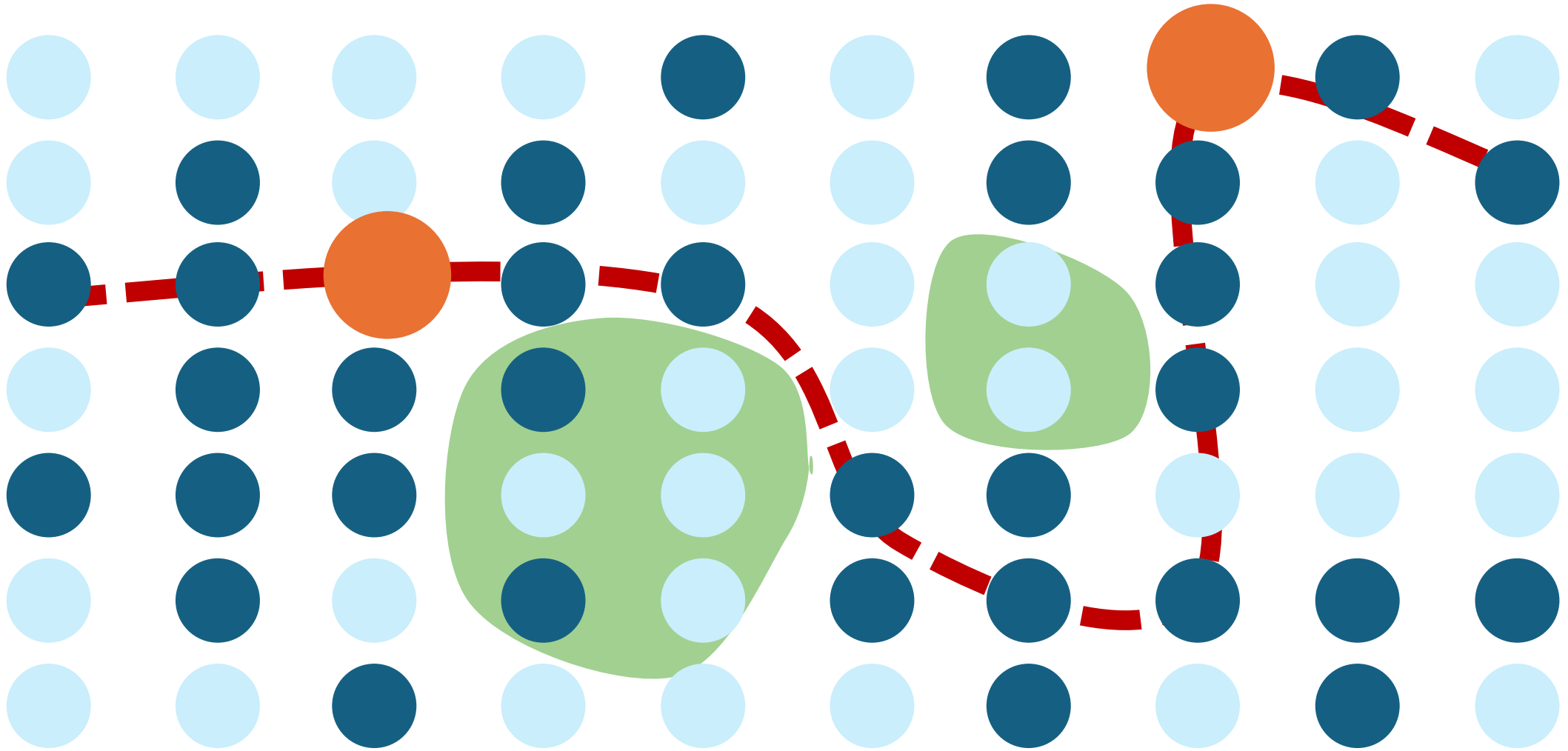
Area-based interventions



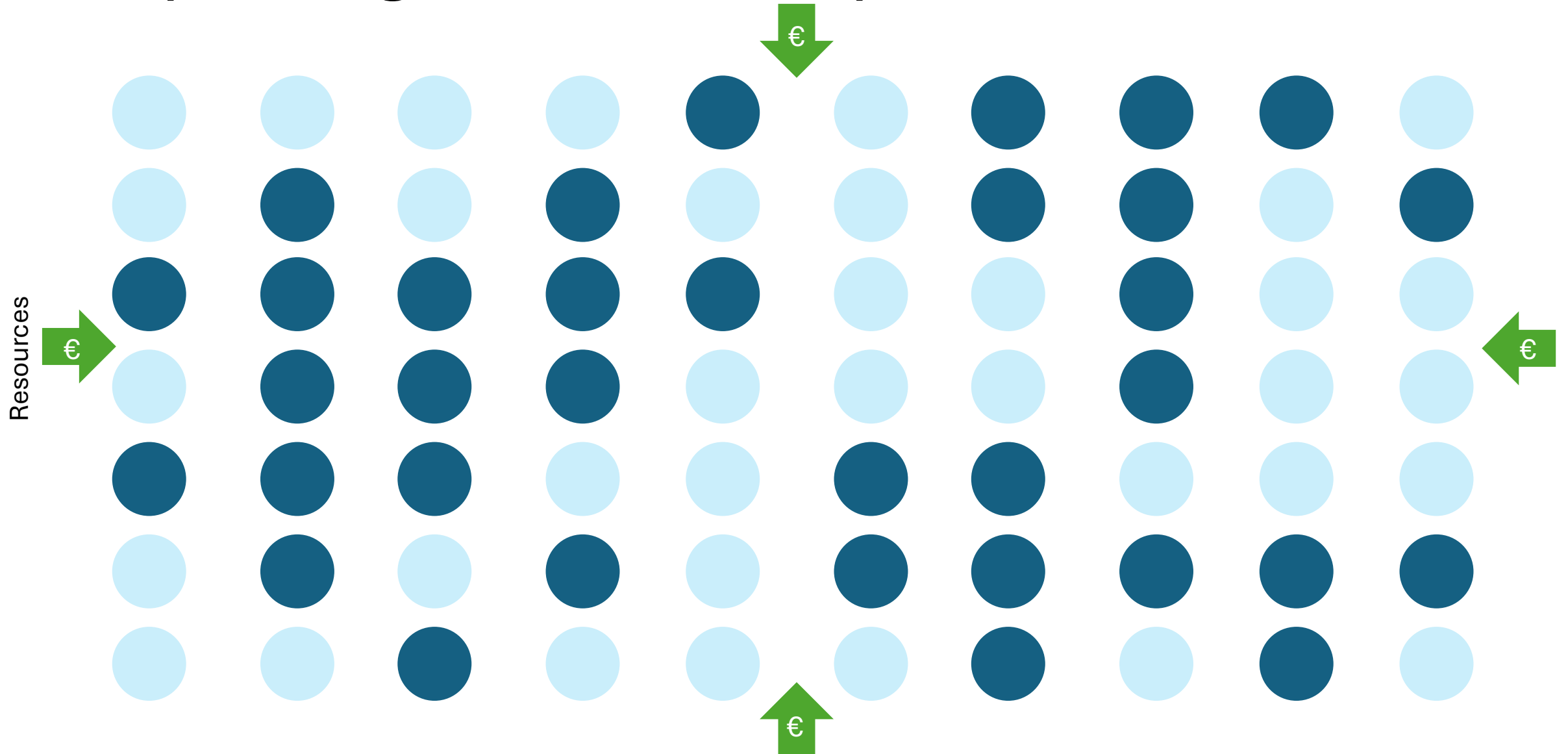
Social mixing



Providing spatial justice



Equalizing structural inequalities



Conceptualizing the segregation process

Segregation as a 'wicked' problem

- Rittel & Webber, 1973:
 - Stresses the complexity and uniqueness of certain social policy or planning problems
 - 'Wicked' problems, such as poverty, differ from the 'tame' problems of natural sciences, which are definable and separable
 - Cannot be reduced to a simple framework of problems and solutions, as goals are often contradictory
- Segregation as a wicked problem:
 - Complexity: multiple factors working through various mechanisms -> isolating the problem?
 - Segregation is interconnected: poverty, inequality, and access to resources are intertwined
 - Segregation affects diverse stakeholders -> 'solutions' are elusive, fuzzy, require coordination between sectors and viewpoints
 - Segregation is persistent over time: an ever-morphing, fluid societal problem on multiple urban scales

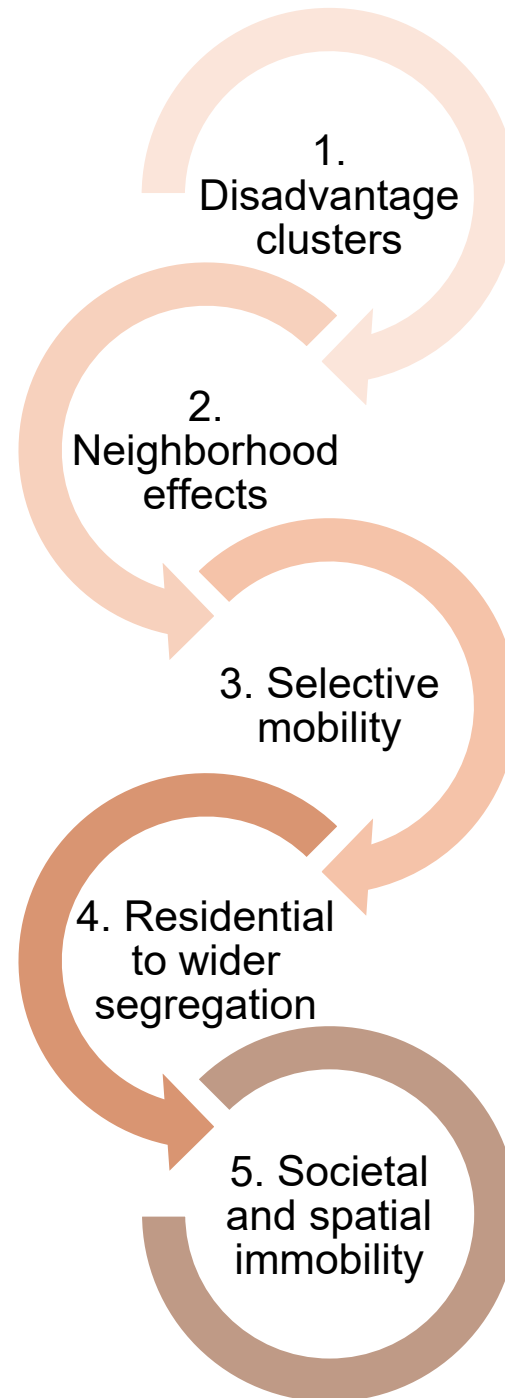
Segregation as a detrimental process

Tammaru et al., 2021:

'The production and reproduction of inequalities and segregation in different life domains emerges as a result of:

- (1) the **sorting of people into concrete activity sites** by buying or renting a home in a certain neighborhood in the city, starting studies in a particular school and by getting a job in a certain workplace, and*
- (2) the **contextual effects people experience** at these activity sites by being exposed to and interacting with others—with neighbours, schoolmates and co-workers. Both sorting and contextual effects are further shaped by **the institutional set-up and spatial distribution of opportunities** in different cities.'*

Segregation as a detrimental process



1. Disadvantage clusters spatially: e.g. social housing/ lack of affordable free-market housing. Residential segregation becomes visible, if not diluted by small-scale social mixing
2. Adverse **neighborhood effects**:
 - a) Objective level: Individual's life chances may be hindered due to services, e.g. education: neighborhood social structure determines pupils' backgrounds and affects education results (Kauppinen, 2007; van Ham et al., 2012).
 - b) Subjective level: Perceptions of upkeep linked to neighborhood satisfaction (Dyck et al., 2011; Howley et al., 2009; Hur & Morrow-Jones, 2008)
3. Selective mobility: Poor perceptions or the fear of negative neighborhood effects affect moving preferences (Kortteinen, Tuominen, et al., 2005) or moving intentions (Permentier et al., 2011)
4. Residential segregation may expand to other life domains (van Ham and Tammaru, 2016):
 - Schools: learning outcomes are usually better in more affluent neighborhoods (Nieuwenhuis & Hooimeijer, 2016; Rich et al., 2021).
 - Workplaces, industries (see Sinitsyna et al. 2021 for Helsinki), travel distances (Rönnerberg, 2020)
5. Expansion to life course and across generations (Galster & Wessel, 2019; Tammaru et al., 2017; Tammaru, Knapp, et al., 2021; Van Ham et al., 2018).

-> **Management becomes incrementally more difficult**

Segregation in a welfare state?

Finland from afar...



- World's happiest country (Sustainable Development Solutions Network, 2018-2024)
- Low segregation levels in a European (Tammaru, Sinitsyna, et al., 2021) and Nordic context (Skifter Andersen et al., 2016; Tunström et al., 2016)
- Lack of negative neighborhood effects (positive: see Kauppinen, 2007)
- Small-scale social mixing implemented since the 1970s in Helsinki -> leans on large social housing sector

Up close....



- During the era of market-oriented housing production, segregation has increased across European countries, including Finland (Musterd et al., 2017; Saikkonen et al., 2018; Tunström et al., 2016).
 - In Finland's largest cities, segregation has steadily grown in recent decades, measured by various socioeconomic indicators (Kurvinen et al., 2025; Kauppinen & Mukkila, 2022; Finnish Environment Institute, 2024)
 - A challenge to the welfare state ethos (Kauppinen, 2002, p. 179; Tunström et al., 2016, p. 7; Wessel et al., 2017)
- Segregation has been studied less than in other Nordic countries (Tunström et al., 2016)
- 'Segregation' vs. 'spatial differentiation'

Drift from proactive housing policy towards reactive social policies

- Segregation control tools:
 - Social mixing used in Helsinki since the 1960s
 - SH remains highly concentrated on a neighborhood level, particularly in the HMA and Turku
 - Obstacles to social mixing: limited land availability, supply-side benefit regulations, political barriers, lack of regional housing policy (Rasinkangas et al., 2024; Rosengren et al., 2024)
 - Growing private rental housing stock limits mixing opportunities, as municipalities cannot influence tenant selection in market-driven housing
- Increasingly reactive measures
 - Area-based initiatives expanded nationwide in the 1990s, with focus on reactive, physical upgrading of housing and services couples with social mixing
- Supply-side housing subsidies replaced by demand-side subsidies
 - Coincides with the decline of the social housing stock in the 2010s and the growth of private rental housing
 - Criticized as accelerating the financialization trend in the Finnish housing market
- Housing policy has traditionally been used to manage segregation -> shift to social policy?
 - Who coordinates segregation management?

Segregation in a retrenching housing regime

- During the age of financialization, segregation has risen in European countries (Musterd et al. 2017; Saikkonen et al. 2018; Tunström et al. 2016)
- Growing income inequality risks exacerbating disparities and worsening living conditions in the poorest households (Hiilamo et al., 2023)
- Since 2024, housing benefits have faced cuts alongside other social security reductions, collectively increasing housing cost burdens for low-income households (e.g., Hyötyläinen, 2023)
 - Narrow the possibilities for counteracting segregation, despite stated goals to combat phenomenon -> is prevention still a goal?
- The state's withdrawal from housing policy is currently evident in housing support cuts, but this trend has been visible over the long term: the retrenchment phase of housing policy began in the 1980s
- Kynsilehto and Alastalo (2024) use the term 'post-welfare state' to describe a hybrid governance model shaped by neoliberalism
 - 'Post' does not imply a complete break from the past, but rather changes in welfare policy priorities and the decentralization of welfare services to lower levels of government and private markets
 - A similar trend appears to be unfolding in housing policy: societal issues like segregation are being delegated to local levels, and responsibility for the functioning of housing markets is increasingly shared with the private sector



Readings

1. Tammaru, T., van Ham, M., Basílio Junior, L., Bērziņš, M., Credit, K., Gaspar Silva, D., Harris, R., Kalm, K., Kauppinen, T., Krišjāne, Z., Malheiros, J., Maloutas, T., Manley, D., Musterd, S., Nel-lo, O., Nevanto, M., Novotný, L., Ouředníček, M., Porcel, S., ... Ubarevičienė, R. (2025). **A comparative study of socio-economic segregation in European capital city-regions: From segregation to desegregation?** *Urban Studies*. <https://doi.org/10.1177/00420980251378028>
2. van Ham, M., & Tammaru, T. (2016). **New perspectives on ethnic segregation over time and space. A domains approach.** *Urban Geography*, 37(7), 953–962. <https://doi.org/10.1080/02723638.2016.1142152>
3. Ruonavaara, H., Rasinkangas, J., & Rosengren, K. (2025). **Preventing, curing, mitigating: Anti-segregation policies in urban Finland.** *Cities*, 160, 105838. <https://doi.org/10.1016/j.cities.2025.105838>
4. Stjernberg, M., Cavicchia, R., Bogason, A., & Vuithier, A. (2025). **Beyond segregation: Nordic approaches to socially inclusive cities.** <https://pub.nordregio.org/r-2025-7-beyond-segregation-nordic-approaches-to-socially-inclusive-cities/beyond-segregation.pdf>



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